



MARKET MONITOR

No. 72– October 2019

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Notwithstanding developments in external markets, notably global trade uncertainties and the abrupt surge in oil prices, the market outlook for AMIS crops in 2019/20 has changed little in recent weeks. Overall supply prospects remain positive for all four crops, despite some expected declines in production and/or inventory levels. Wheat and rice markets look set to remain particularly well supplied, while overall supply conditions for maize and soybeans are also regarded as favourable, in spite of a less certain production outlook.

Markets at a glance

	From previous forecast	From previous season
Wheat	■	▲
Maize	▲	▼
Rice	■	▼
Soybeans	▼	▼

▲ Easing ■ Neutral ▼ Tightening

The **Market Monitor** is a product of the Agricultural Market Information System (AMIS). It covers international markets for wheat, maize, rice and soybeans, giving a synopsis of major market developments, policies and other market drivers for these crops. The analysis is a collective assessment of the market situation and outlook by the ten international organizations and entities that form the AMIS Secretariat.

Feature article

Towards a more transparent rice market

Although government policies continue to play an influential role in all aspects of the global rice economy, world import demand is also being driven by population growth and changing dietary preferences. This is particularly evident in sub-Saharan Africa, where a growing number of consumers are switching away from traditional staples and towards rice. While supportive government policies could underpin increased production in sub-Saharan Africa, consumption gains in that region are anticipated to outstrip improved production at least for the next five years. The ensuing expansion in African imports will likely raise the region's food security and rural economy links especially with Asia, at a time when climatic risks to production may only increase. As a consequence, there is a growing need for cooperation in the sector, particularly given the rice market's inherent volatility and lack of transparency.

In order to improve stability and openness in the rice market, the International Grains Council (IGC) is undertaking exploratory work on the development of an African price reference tool which will aid policy makers with an improved understanding of the costs of the region's rice imports. Unlike the IGC's GOI rice sub-index, which reflects export prices of white and parboiled rice on a free-on-board (FOB) basis, the new tool will demonstrate movements of delivered prices and will account for developments that are of particular relevance to African buyers and subsequent trade flows. In addition, shipping costs will be incorporated through the IGC's recently developed freight pricing methodology, which

translates aspects of voyage costs (such as vessel hire rates, fuel costs and port charges) and route parameters (such as the distance between the port of origin and arrival), into a per tonne value (voyage rate).

Utilizing the IGC's trade database, key routes and grades of rice have been identified as part of the tool's methodological components, for example, Nigeria's preference for parboiled rice and Senegal's preference for 100 percent broken rice. However, challenges remain on identifying parts of the delivered costs, such as charges and loading rates at some key ports.

Given the need for improved transparency in rice markets, the IGC Secretariat will continue to explore options that could aid in better managing price risks. It is evident that while the global rice market will likely remain susceptible to volatility over the short term, initiatives such as the IGC price reference tool can boost the potential for heightened transparency and stability in the longer term.

In January 2019, the IGC, along with the Grain and Feed Trade Association (GAFTA), held a seminar dedicated to better understanding grains trade in Africa.

A link to the presentation is here:
http://igc.int/downloads/igc_africa_seminar.pdf

World supply-demand outlook

- **Wheat** production in 2019 lowered slightly with most of the downward revision in Australia, where crop prospects have continued to deteriorate due to prolonged dry conditions.
- Utilization in 2019/20 increased, mainly on higher-than-earlier anticipated food and industrial use driven by large supplies.
- Trade in 2019/20 (July/June) nearly unchanged m/m and still pointing to a recovery from the sharp decline in 2018/19, supported by stronger import demand in Morocco and several countries in Asia.
- Stocks (ending in 2020) projected well above their opening levels and at their second highest level on record.

- **Maize** production in 2019 (comprising southern hemisphere crops harvested in 2019) to rebound and reach its second highest level on record, despite a sharp anticipated decline in the US.
- Utilization in 2019/20 lowered, but still pointing to an increase of 0.7 percent y/y, despite African Swine Fever dampening feed use prospects, especially in China.
- Trade in 2019/20 (July/June) revised slightly up on faster sales, but still showing a contraction from the previous season's record volume.
- Stocks (ending in 2020) raised m/m, with inventories in the US adjusted upwards and more than compensating for a cut in Argentina.

- **Rice** production in 2019 downgraded and now pointing to a small output contraction from the 2018 record, much of which concentrated in Brazil, China, India and the US.
- Utilization in 2019/20 lowered, but still seen exceeding the 2018/19 high, on expectations that ample supplies will spur food intake growth.
- Trade still predicted to recover in 2020, despite less buoyant import forecasts for African countries (in particular Egypt, Madagascar and Senegal), as well as Indonesia.
- Stocks (2019/20 carry-outs) scaled up, as an upward revision for India overshadows reductions for China and the US.

- **Soybean** 2019/20 production trimmed marginally, as further downward revisions for the US are partly offset by higher forecasts elsewhere.
- Utilization in 2019/20 increased somewhat, reflecting upward revisions for several countries, notably Argentina, Brazil and China; y/y, a below-average global growth rate is confirmed.
- Trade in 2019/20 scaled up on somewhat higher import forecasts for several countries, including China, and improved export prospects in major producing countries; global trade now forecast to match last seasons' level.
- Stocks (2019/20 carry-outs) lowered further, mostly reflecting downward adjustments for the US and Brazil; although global inventories are set to drop by one-fifth y/y, reserves of major exporters are forecast to remain at comfortable levels.

Wheat	FAO-AMIS				USDA		IGC	
	2018/19 est	2019/20 f'cast		2018/19 est	2019/20 f'cast	2018/19 est	2019/20 f'cast	
		5 Sep	3 Oct		12 Sep		26 Sep	
Stocks	Prod	730.4	766.9	766.0	730.8	765.5	733.4	763.5
		599.0	632.9	632.0	599.4	633.5	602.0	631.5
	Supply	1,014.4	1,034.6	1,034.8	1,012.7	1,042.8	1,004.0	1,029.0
		771.4	781.4	781.6	750.1	771.0	758.4	776.8
	Utiliz.	746.7	760.1	761.5	735.5	756.3	738.5	757.5
		620.2	632.3	633.8	610.5	628.3	611.0	628.8
	Trade	167.8	173.2	173.5	172.7	180.8	168.8	171.9
		164.6	169.4	169.7	167.1	173.6	165.5	168.3
	Stocks	268.8	273.6	272.9	277.2	286.5	265.5	271.6
		149.6	145.0	144.3	137.5	140.8	144.1	144.4

Maize	FAO-AMIS				USDA		IGC	
	2018/19 est	2019/20 f'cast		2018/19 est	2019/20 f'cast	2018/19 est	2019/20 f'cast	
		5 Sep	3 Oct		12 Sep		26 Sep	
Stocks	Prod	1,115.6	1,123.7	1,124.1	1,122.2	1,104.9	1,130.0	1,098.8
		858.3	869.7	870.7	864.8	850.9	872.7	845.2
	Supply	1,482.9	1,485.9	1,486.5	1,461.7	1,434.4	1,465.4	1,424.7
		1,020.3	1,035.6	1,036.2	981.9	968.6	987.4	966.6
	Utiliz.	1,133.6	1,143.1	1,141.8	1,132.2	1,128.2	1,139.5	1,139.1
		862.9	868.9	867.6	859.2	851.2	860.9	857.5
	Trade	165.1	160.0	160.7	176.2	169.9	164.9	164.6
		160.6	157.0	157.7	159.1	162.4	159.8	159.6
	Stocks	362.4	336.0	337.2	329.6	306.3	325.9	285.6
		166.1	157.4	158.5	117.7	110.5	121.3	104.1

Rice	FAO-AMIS				USDA		IGC	
	2018/19 est	2019/20 f'cast		2018/19 est	2019/20 f'cast	2018/19 est	2019/20 f'cast	
		5 Sep	3 Oct		12 Sep		26 Sep	
Stocks	Prod	517.8	517.3	513.5	499.0	494.2	500.2	500.0
		372.5	373.0	370.1	350.5	348.2	351.7	352.6
	Supply	691.7	697.5	696.4	661.2	666.0	663.4	673.5
		441.3	447.7	447.4	403.7	405.0	412.5	418.5
	Utiliz.	510.9	518.7	516.4	489.4	493.3	489.9	495.7
		364.7	371.6	369.8	346.4	350.3	346.9	352.2
	Trade	45.9	48.4	47.5	45.1	45.1	44.8	46.5
		41.9	44.8	43.9	41.2	40.8	41.4	43.2
	Stocks	182.9	178.5	179.3	171.8	172.7	173.5	177.8
		77.3	75.0	76.2	56.8	54.9	62.2	63.0

Soybeans	FAO-AMIS				USDA		IGC	
	2018/19 est	2019/20 f'cast		2018/19 est	2019/20 f'cast	2018/19 est	2019/20 f'cast	
		5 Sep	3 Oct		12 Sep		26 Sep	
Stocks	Prod	364.0	347.2	346.2	362.1	341.4	363.1	342.4
		348.0	330.3	329.2	346.2	324.3	347.1	325.2
	Supply	408.9	409.6	408.0	460.9	453.8	407.4	396.5
		379.5	380.3	379.0	421.9	417.0	289.4	278.0
	Utiliz.	352.1	354.4	359.2	346.5	353.4	353.1	358.9
		251.6	253.3	257.2	244.4	250.7	251.1	255.4
	Trade	150.3	146.0	150.0	148.6	149.4	149.1	150.1
		67.2	61.6	64.8	63.6	63.2	65.5	64.4
	Stocks	61.8	53.2	48.2	112.4	99.2	54.2	37.9
		49.8	40.7	36.2	92.7	80.2	38.3	23.0



World Balances

All figures shown in the table are in million metric tonnes.

Data shown in the second rows refer to world aggregates without China; world trade data refer to exports and world trade without China excludes exports to China.

To review and compare data, by country and commodity, across three main sources, go to <https://app.amis-outlook.org/#/market-database/view-and-compare>

Estimates and forecasts may differ across sources for many reasons, including different methodologies. For more information see Explanatory notes on the last page of this report.

Summary of revisions (FAO-AMIS) since the previous report

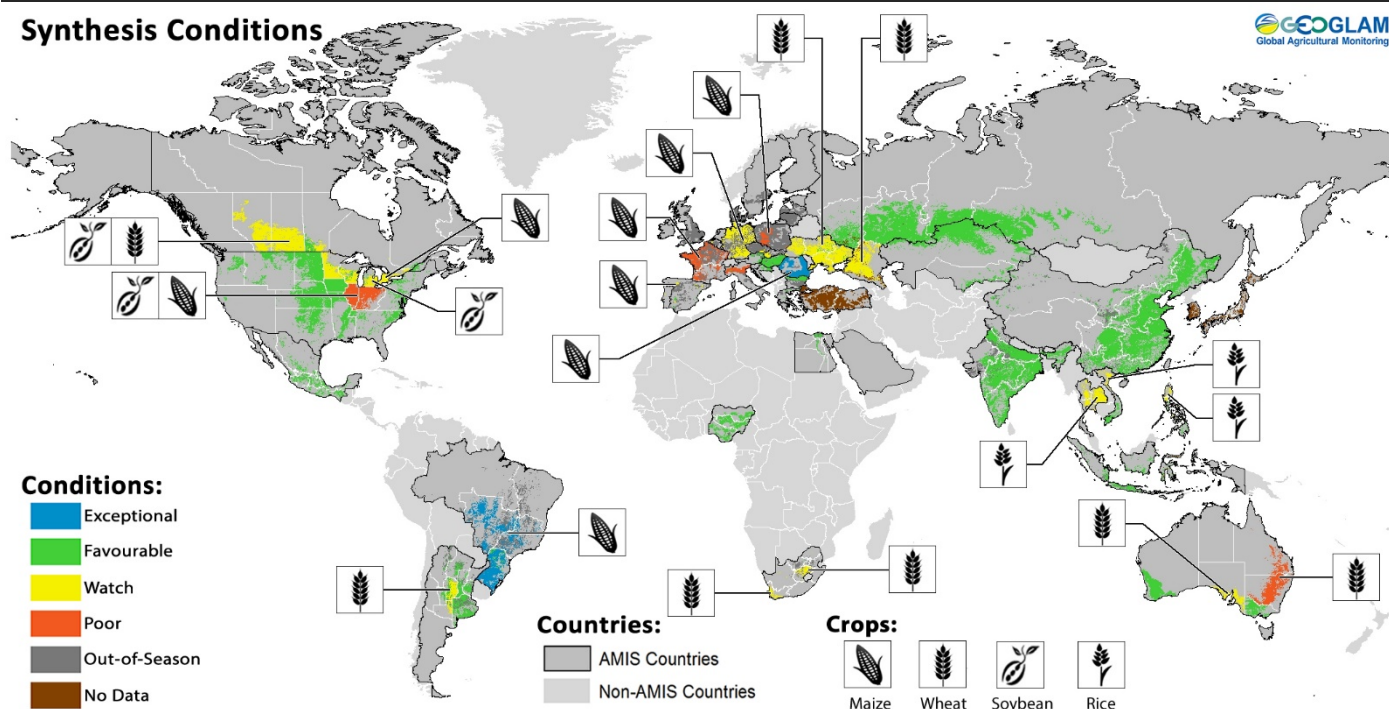
in thousand tonnes

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Crop monitor

Crop conditions in AMIS countries (as of 28 September)

Synthesis Conditions



Crop condition map synthesizing information for all four AMIS crops as of 28 September. Crop conditions over the main growing areas for wheat, maize, rice, and soybean are based on a combination of national and regional crop analyst inputs, along with earth observation data. **Only crops that are in other-than-favourable conditions are displayed on the map with their crop symbol.**

Conditions at a glance

Wheat - In the northern hemisphere, spring wheat harvest is ongoing under mostly favourable conditions. Winter wheat sowing is underway under mixed conditions due to dry soil conditions in Ukraine and localized areas in the Russian Federation. In the southern hemisphere, conditions have deteriorated in eastern Australia, while they are generally favourable in South America.

Maize - In the northern hemisphere, harvest is underway with delayed maturity crops in the US and Canada along with heatwave affected crops in Europe. In the southern

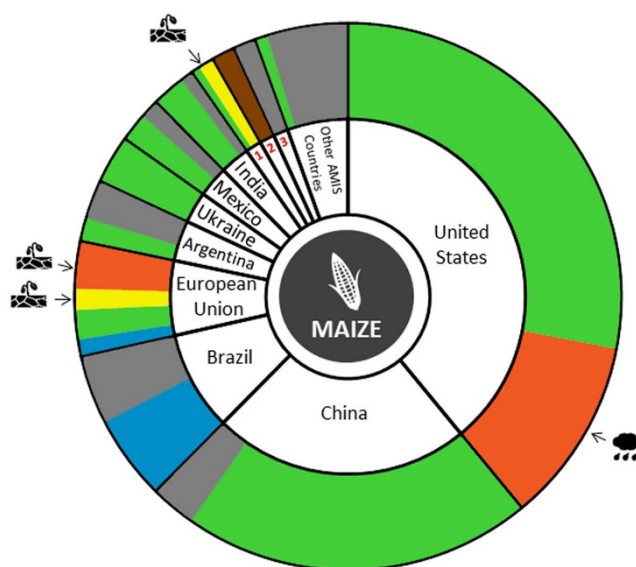
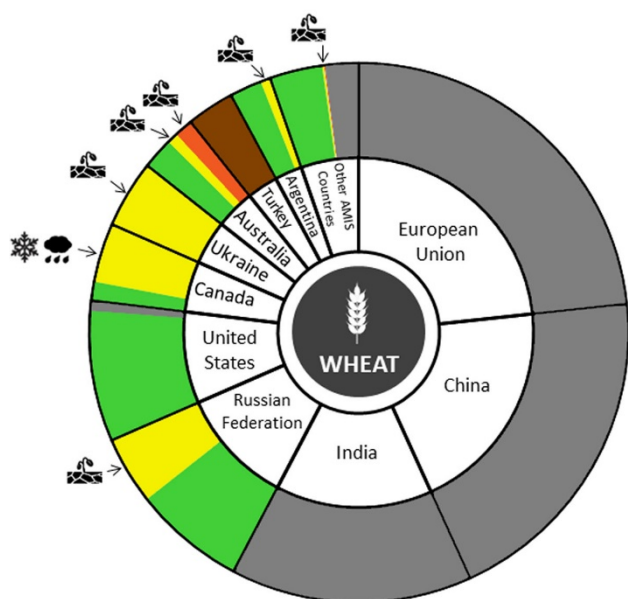
hemisphere, sowing of the spring crop is beginning in Argentina and Brazil.

Rice – In China, harvest of single-season rice is still ongoing. In Southeast Asia, conditions are mixed across the region as recent heavy rains affected wet-season rice in Thailand and the Philippines, while dry-season rice is favourable in Indonesia.

Soybeans - In the northern hemisphere, large parts of the US and Canada remain under watch conditions due to the delayed maturity of the crops, while conditions are favourable in China and India. In the southern hemisphere, sowing is just beginning in Brazil.

Neutral ENSO conditions

El Niño-Southern Oscillation (ENSO) conditions are most likely to remain neutral through May 2020. The Indian Ocean Dipole (IOD) is in a positive state and is forecast to remain so through the rest of 2019. A positive IOD tends to suppress rainfall in southern and central Australia and enhance rainfall in parts of East Africa.

Conditions:**Drivers:**

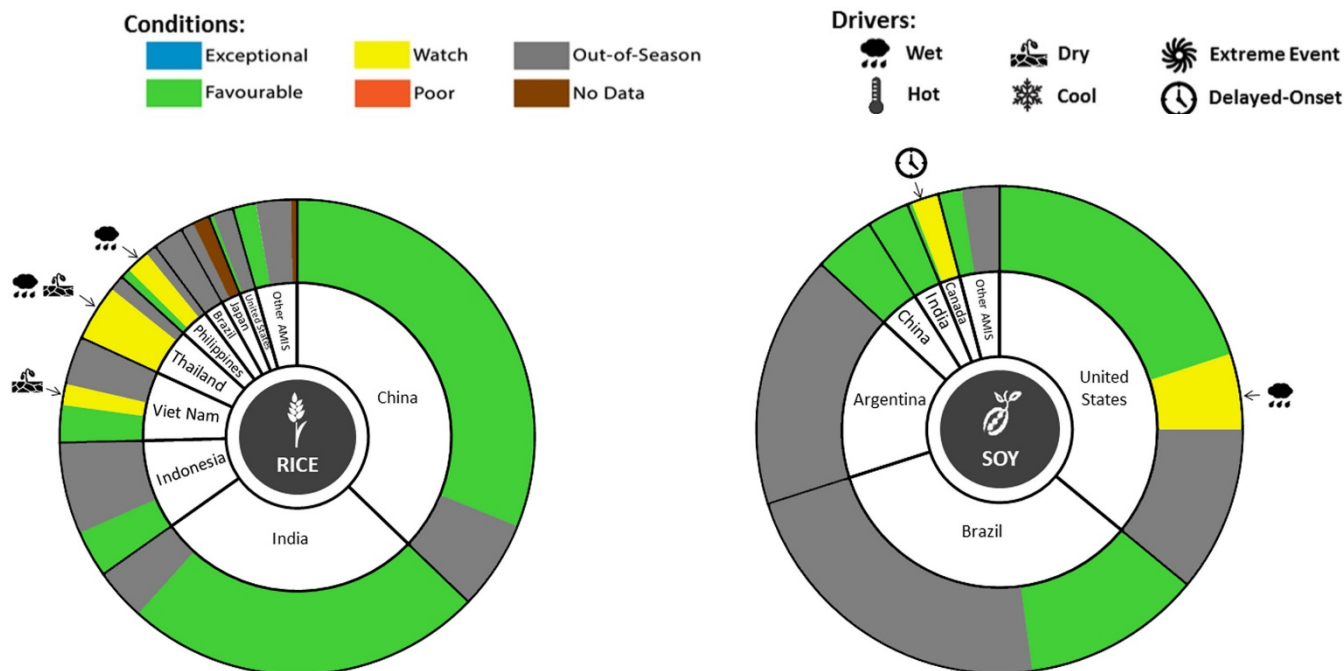
Canada¹, Russian Federation², South Africa³

Wheat

In **Ukraine**, sowing is ongoing albeit delayed across most of the country due to severe soil drought, which is most prevalent in the central and north-eastern regions. In the **Russian Federation**, harvest of spring wheat is ongoing under generally favourable conditions while winter wheat sowing is over halfway complete despite some areas of dryness in the south. In **Kazakhstan**, spring wheat harvest is ongoing under generally favourable conditions, however earlier dry conditions in Kostanay may affect final yields. In the **US**, spring wheat harvest is wrapping up under favourable, albeit delayed, conditions. Sowing of winter wheat is starting under favourable conditions. In **Canada**, winter wheat harvest is almost complete under generally favourable conditions, but with a decline in production expected due to the decrease in total sown area this season. Spring wheat is under mixed conditions with harvest delays in the western prairies due to wet and cool conditions. In **Australia**, conditions are poor across much of New South Wales and Queensland as severe rainfall deficiencies continue. Yields across the remaining states are expected average to above average in Victoria, while slightly below average in Western Australia and South Australia. In **Argentina**, conditions are generally favourable though a lack of rainfall and low temperatures are hampering development in some regions.

Maize

In the **US**, harvest is just getting started in the southern areas as the crop is reaching maturity late this year due to the delayed sowing this season. Conditions are mostly favourable with the exception of the eastern Corn Belt. Total production in the Corn Belt is expected to be down considerably compared to last year due to large areas left unplanted, particularly in its extreme eastern and western extents. In **Canada**, crop conditions in the main producing province of Ontario are under watch with extremely variable crop conditions due to dry soil conditions over the summer. In **Mexico**, harvest of the spring-summer crop is ongoing under favourable conditions with a slight increase in total sown area compared to last year. In **China**, conditions are generally favourable as harvest is wrapping up for the spring-planted crop while still ongoing for the summer-planted crop. In **India**, conditions are favourable for the Kharif crop as harvest begins. In the **EU**, conditions are mixed as below average yields are expected in many countries due to the summer heatwaves. In **Ukraine**, harvest is beginning under favourable conditions with initial yields slightly above last year's. In **Brazil**, harvest is wrapping up for the summer-planted crop (higher producing season) under exceptional conditions. Sowing of the spring-planted crop has begun in the south under favourable conditions. In **Argentina**, sowing of the spring-planted crop is beginning in the central provinces under favourable conditions.



Rice

In **China**, conditions are favourable as single-season rice harvest is still ongoing in the lower Yangtze river basin and late-season rice is at the heading stage. In **India**, Kharif rice is under generally favourable conditions. In **Indonesia**, conditions are generally favourable as the sowing of dry-season rice continues along with the harvest of earlier sown dry-season rice. In **Viet Nam**, conditions are mixed for summer-autumn rice (wet-season rice) due to dry conditions in the north. In **Thailand**, wet-season rice conditions are mixed due to a dry start of the season followed by recent heavy rainfall and flooding of fields in early September. In the **Philippines**, conditions are mixed due to heavy rains from several tropical cyclones as the harvest begins for wet-season rice. In the **US**, conditions are favourable.

Soybeans

In the **US**, the crop is maturing quite late and harvest is yet to begin. There is still a degree of uncertainty in the expected yields, but overall production will likely be down considerably based on much fewer hectares that were sown. However, production in Iowa, Nebraska and other more southerly areas will likely be close to average. In **Canada**, crops across most of the country are under watch conditions. Delayed maturation and variable weather conditions have increased the risk of frost damage in the main producing provinces of Ontario and Saskatchewan. In **China**, harvest is beginning under generally favourable conditions across the county and with slightly above-average conditions in the main producing northeast region. In **India**, conditions are favourable in the vegetative to reproductive stage. In **Ukraine**, harvest is about halfway complete under generally favourable conditions with yields slightly below last year's. In **Brazil**, the current rainfall in the state of Paraná has favoured the beginning of sowing.

Information on crop conditions in non-AMIS countries can be found in the [GEOGLAM Early Warning Crop Monitor](#), published 3 October 2019

Policy developments

Wheat

- On 17 September, **Brazil** notified the WTO of maximum residue limits of glufosinate on certain commodities including wheat. The regulation established a limit of 0.5 mg per kg. Comments can be made on the regulation until 26 October 2019.

Rice

- On 17 September, **Brazil** notified the WTO of maximum residue limits of trifluralin on certain commodities including rice. The regulation established a limit of 0.05 mg per kg. Comments can be made on the regulation until 26 October 2019.
- On 16 September, the Government of Punjab in **India** approved the Punjab Custom Milling Policy for Paddy (Kharif 2019-20). The scheme aims to ensure procurement of paddy (at INR 1 815 per quintal – USD 256 per tonne) from farmers and delivery into the national stocks from more than 3 710 mills operating in Punjab. Rice mills will be allocated 2 500 tonnes of paddy per 1 tonne capacity, increasing by 500 tonnes for every additional tonne of capacity, up to a maximum allocation of 5 000 tonnes.
- On 11 September, the Ministry of Agriculture in the **Philippines** notified the WTO of a safeguard investigation on rice. The investigation seeks to determine whether increased imports are causing, or threatening to cause, injury to the domestic industry.

Soybeans

- On 5 September, the General Administration of Customs of **China** allowed imports of soybean meal from the **Russian Federation**, including other commodities such as rapeseed meal, sunflowerseed meal and sugar beet.
- On 11 September, under an agreement between the Ministry of Agriculture in **Argentina** and **China**, China allowed soymeal feed imports from 7 Argentine plants namely Bunge Argentina, LDC Argentina, Cargill, Molinos Río de la Plata, Renova, T6 and COFCO International Argentina. The accord could result in shipment of up to 5 million tonnes of Argentine soymeal to China in 2020.
- On 13 September, the Ministry of Commerce of **China** exempted US soybean imports from the additional tariffs. China had started applying an additional tariff of

25 percent in June followed by an additional tariff of 5 percent in August 2019 on yellow soybeans.

Biofuels

- On 31 August, the Ministry of Economy of **Brazil** allowed duty-free imports of ethanol within a tariff quota of 750 million litres per year. This marked an increase from a tariff quota of 600 million litres per year held previously (Ordinance no. 547). The tariff applied on out-of-quota ethanol imports is currently at 20 percent.

Across the board

- On 27 September, **Australia** announced an aid package of AUD 100 million (USD 67.5 million) for farmers and communities affected by severe drought, of which AUD 33 million (USD 22.3 million) are intended to resume the Drought Community Support Initiative, where the eligible households are subject to a limit of AUD 3 000 (USD 2 026). The assistance also includes AUD 1 million (USD 675 000) payments to 13 additional local government areas for water infrastructure upgrades and other projects. In addition, the government will provide AUD 51.5 million (USD 34.8 million) to simplify and extend the *Farm Household Allowance programme*.
- On 13 September, the Ministry of Agriculture of **Brazil** authorized BRL 25.3 million (USD 6.07 million) in payments to producers affected by severe drought through the Harvest Guarantee Program. The payments will be available to farmers from September 2019 in the north and the north-east regions (Ordinance no. 4315).
- On 17 September, in its notification to the WTO, the **EU** established maximum residue limits for soybeans and cereals for Napropamide (0.02 mg per kg and 0.01 mg per kg, respectively), Myclobutanil (0.01 mg per kg), Sintofofen (0.01 mg per kg), Chromafenozide (0.01 mg per kg), Flumenturon (0.01 mg per kg), Pencycuron (0.02 mg per kg), Sedaxane (0.01 mg per kg), Trazoxide (0.005 mg per kg) Fluvalinate (0.01 mg per kg for soybeans, rice and maize; 0.05 mg per kg for wheat). Comments can be made on the draft resolution until 16 November 2019.
- On 14 September, the Ministry of Finance of **India** announced an allocation of INR 500 billion (USD 7.05 billion) on a scheme designed to offset the amount exporters pay as duties ("Remission of Duties or Taxes



AMIS Policy database

Visit the AMIS Policy database at: <https://app.amis-outlook.org/#/policy-database>

The AMIS Policy database gathers information on trade measures and domestic measures related to the four AMIS crops (wheat, maize, rice, and soybeans) as well as biofuels. The design of this database allows comparisons across countries, across commodities and across policies for selected periods of time.

Only AMIS participants are marked in **bold**.

on Export Products"). Further, India introduced an Export Credit Insurance Scheme ('NIRVIK Scheme') to enhance loan availability and ease the lending process. The scheme will provide 90 percent coverage of the principal and interest amount for both pre- and post-shipment credit. The coverage will ensure that foreign- and Rupee-denominated export credit interest rates for exporters remain below 4 percent and 8 percent, respectively.

- On 11 September, the Ministry of Environment of **Germany** announced the ban of glyphosate from the end of 2023.
- On 24 September, the Food Contract Corporation (JSC) in **Kazakhstan** increased the grain purchase price to KZT 76 000 per tonne.
- On 25 September, **Japan** and the **US** signed a trade agreement on agricultural products and digital trade. The agreement would lower or eliminate tariffs on several US agricultural products, including sweet corn. For some commodities including US wheat and corn starch, preferential market access would be provided through the creation of country specific tariff quotas.
- On 10 September, the **US** Department of Agriculture announced a grant of USD 150 million through the Community Facilities Program to assist recovery of rural communities from the effects of hurricanes, fires and other natural disasters. On 26 September, under the federal crop insurance scheme, the USDA announced a prevented planting top-up payment of 10 percent to producers with Yield Protection and Revenue Protection programmes and of 15 percent to producers with Revenue Protection programme

Trade Junctures

- On 5 September, a union for workers at grains crushing plants started a national strike over wages in the main agricultural province of Rosario in **Argentina**.
- On 9 September, the transport of grains and other commodities of more than 100 000 tonnes through the **US** Pacific Northwest stalled because of a broken river lock at the Bonneville Dam on the Columbia River along the Oregon-Washington border.

International prices

International Grains Council (IGC) Grains and Oilseeds Index (GOI) and GOI sub-Indices

	September 2019 Average*	% Change M/M	% Change Y/Y
GOI	183	- 0.7%	- 6.8%
Wheat	174	+ 1.6%	-11.4%
Maize	163	- 4.9%	- 6.4%
Rice	162	- 2.1%	- 1.1%
Soybeans	177	- 0.3%	- 4.0%

*Jan 2000=100, derived from daily export quotations

Wheat

The average of the IGC GOI wheat sub-Index was 2 percent higher m/m, however initial weakness in export prices contrasted with solid gains later in the month. The soft price tone early in the month came from seasonally heavy supplies and strong competition for any export business. There was some underpinning from less than ideal conditions for crops in the southern hemisphere, highlighted by an official downgrade to the forecast for Australia's harvest and deteriorating condition ratings for the crop in Argentina. However, as the month progressed, increased attention was given to delays to the final stages of harvesting in the northern hemisphere, particularly in North America, where there were escalating concerns about yield and quality damage for spring wheat and durum. Price support also came from a raft of fresh export business.

Maize

Losses in world maize export quotations were extended in September, the average of the IGC maize sub-Index dropping by a further 5 percent m/m, touching a more than 10-year low early in the month. While most prices have rebounded more recently, sentiment remained anchored by bearish world supply and demand fundamentals. US quotations moved lower as exporters looked to boost competitiveness versus South American suppliers, with pressure also stemming from a period of hot weather, seen benefitting the late-developing crop. Prices in Argentina were weighed by ample spot availabilities and a sharp

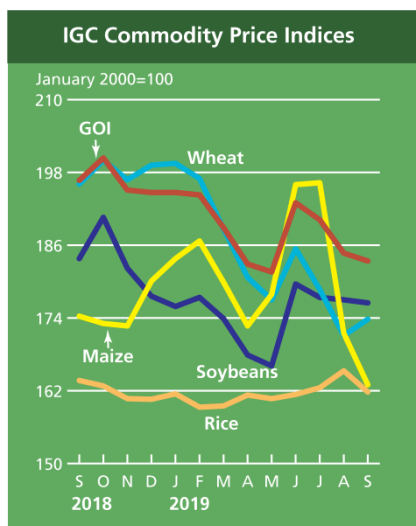
pickup in producer selling. With harvesting underway, FOB values in Ukraine weakened on reports of strong yields and efforts to stimulate fresh demand.

Rice

Average international rice prices declined in September, with Thai values retreating from recent peaks as a slowdown in international demand and some fresh paddy arrivals from a minor off-season crop outweighed concerns for 2019/20 production prospects. Vietnamese quotes also fell on subdued purchasing from the Philippines and harvesting pressure, while Indian values were softer on weaker buying interest, including from West Africa.

Soybeans

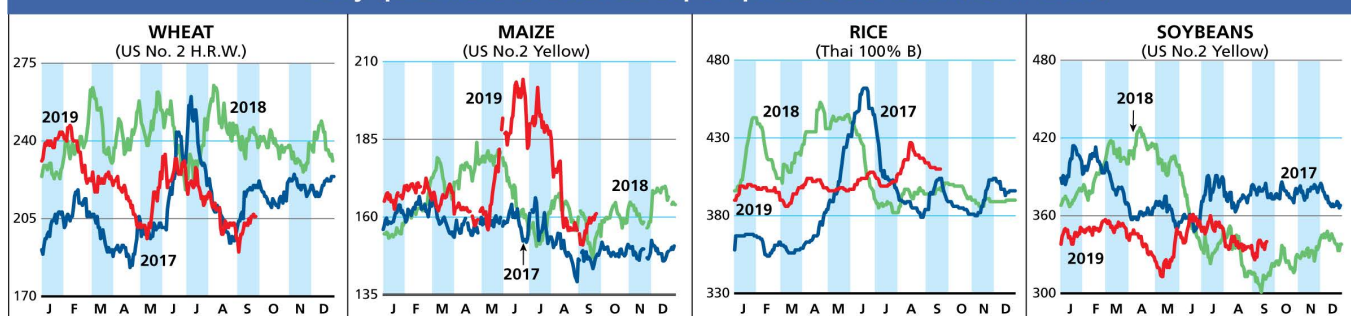
With export prices at major origins narrowly mixed, the IGC GOI sub-Index was broadly steady m/m. While mostly favourable crop weather and underlying demand concerns initially pressured Gulf export values, ideas that US-China trade tensions were easing provided recent support. This was linked to news that China had purchased a number of cargos from the US for Oct/Dec shipment, with reports also indicating that tariff waivers had been granted to private firms to secure additional volumes in the near future. Renewed worries about overly wet Midwest conditions mildly underpinned later in the month. In Brazil, where the 2019/20 planting campaign got underway in less than ideal conditions, sluggish international demand continued to weigh, compounded by news of fresh US sales to China.



		IGC commodity price indices				
		GOI	Wheat	Maize	Rice	Soybeans
		(..... January 2000 = 100)				
2018	September	196.7	196.1	174.3	163.7	183.8
	October	200.4	200.0	173.1	162.8	190.6
	November	195.1	196.8	172.7	160.7	182.2
	December	194.7	199.2	180.1	160.6	177.6
2019	January	194.7	199.5	183.8	161.5	175.9
	February	194.3	197.0	186.7	159.3	177.4
	March	188.9	188.7	179.9	159.5	173.9
	April	182.9	180.7	172.7	161.3	167.9
	May	181.6	177.0	177.9	160.7	166.1
	June	193.0	185.4	196.0	161.4	179.7
	July	190.2	178.7	196.3	162.5	177.4
	August	184.7	171.1	171.5	165.3	177.0
	September	183.4	173.8	163.0	161.8	176.5

Selected export prices, currencies and indices

Daily quotations of selected export prices (USD/tonne, 2017-2019)

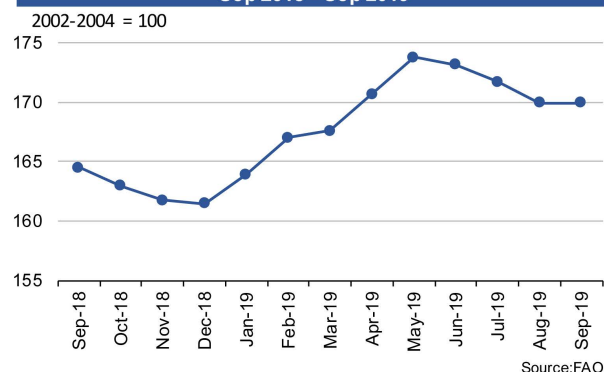
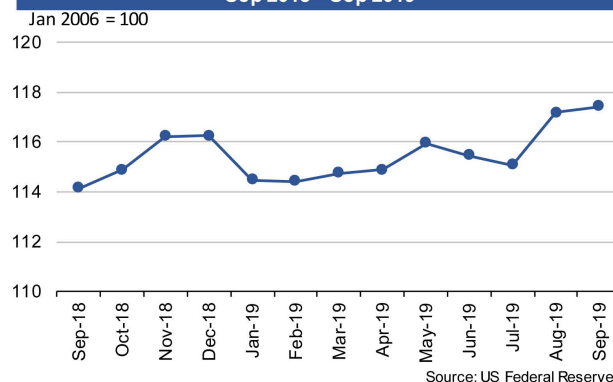


Daily quotations of selected export prices

	Effective Date	Quotation (1)	Month ago (2)	Year ago (3)	% change (1) over (2)	% change (1) over (3)
..... USD/tonne						
Wheat (US No. 2, HRW)	27-Sep	207	196	237	5.6%	-12.7%
Maize (US No. 2, Yellow)	27-Sep	158	156	154	1.5%	2.8%
Rice (Thai 100% B)	27-Sep	410	417	399	-1.7%	2.8%
Soybeans (US No.2, Yellow)	27-Sep	335	336	314	-0.3%	6.7%

AMIS Countries' Currencies Against US Dollar

AMIS Countries	Currency	Sep 2019 Average	Monthly Change	Annual Change
Argentina	ARS	56.4	-7.3%	-46.6%
Australia	AUD	1.5	0.6%	-5.8%
Brazil	BRL	4.1	-2.3%	-0.3%
Canada	CAD	1.3	0.2%	-1.6%
China	CNY	7.1	-0.7%	-3.8%
Egypt	EGP	16.3	1.1%	8.5%
EU	EUR	0.9	-1.0%	-5.9%
India	INR	71.3	-0.2%	1.2%
Indonesia	IDR	14,095.0	0.9%	5.2%
Japan	JPY	107.5	-1.2%	4.1%
Kazakhstan	KZT	387.1	-0.1%	-5.4%
Rep. Korea	KRW	1,194.5	1.3%	-6.8%
Mexico	MXN	19.6	0.6%	-3.0%
Nigeria	NGN	305.9	0.0%	-0.2%
Philippines	PHP	52.1	0.2%	3.5%
Russian Fed.	RUB	64.9	1.4%	4.0%
Saudi Arabia	SAR	3.8	0.0%	0.0%
South Africa	ZAR	14.9	2.1%	-0.6%
Thailand	THB	30.6	0.6%	6.2%
Turkey	TRY	5.7	-1.0%	9.5%
UK	GBP	0.8	1.6%	-5.7%
Ukraine	UAH	24.7	2.1%	12.4%
Viet Nam	VND	23,202.5	0.0%	0.5%

FAO Food Price Index
Sep 2018 - Sep 2019Nominal Broad Dollar Index
Sep 2018 - Sep 2019

Futures market

Futures Prices – nearby

	Sep-19 Average	% Change	
		M/M	Y/Y
Wheat	176	2.4%	-4.9%
Maize	143	-3.8%	2.7%
Rice	264	5.7%	16.4%
Soybeans	322	2.5%	5.2%

Source: CME

Historical Volatility – 30 Days, nearby

	Monthly Averages		
	Sep-19	Aug-19	Sep-18
Wheat	29.4	33.6	35.8
Maize	31.6	31.1	22.1
Rice	17.7	17.7	24.6
Soybeans	17.3	17.4	22.6

Futures Prices

Prices for wheat, maize, and soybeans continued their fall from August levels before rebounding by mid-month in September. USDA's September crop forecasts for maize and soybeans registered small declines from prior reports, but still exceeded those of several private analysts, as record late planted crops complicated the task of yield and acre determinations. China's resumption of US soybean purchases and reported selective tariff waivers on US soybean cargoes spurred a rally across agricultural markets, even though a formal resolution to trade issues seemed to remain distant. Wheat prices rose in reaction to tightening supplies in Australia and Kazakhstan despite a slowdown in global consumption. Rice rose throughout the month due to lower US production as well as declines elsewhere - led by India. Exogenous markets followed their own paths with the US Dollar incrementally stronger against the major currencies and West Texas Intermediate crude oil trading above the USD 50 per barrel mark, spiking briefly over USD 62 as a result of supply disruptions. Prices were 3.8 percent lower m/m for maize, 2.4, 5.7 and 2.5 percent higher for wheat, rice and soybeans respectively. On a y/y comparison, wheat prices were 4.9 percent lower, while maize, rice and soybeans were 2.7, 16.4 and 5.2 percent higher, respectively. USDA's quarterly stocks report published on September 30, reduced its ending 2018/19 stocks for maize and soybeans, sparking a month-end rally. Volumes and volatility

Trade volumes for wheat and maize tumbled m/m, also slipping y/y. Soybean volumes were negligibly lower m/m but slightly higher y/y. Implied volatility fell for all three commodities m/m while historical volatility fell for wheat and soybeans but rose slightly for maize m/m. Maize registered sharp increases for both implied and historical volatility measures y/y, while wheat and soybeans levels showed declines.

Basis levels and transport

Domestic basis levels fell slightly for maize and soybeans as harvest commenced in the US southern growing regions. In Illinois, average quotes to local elevators were minus USD 4 per tonne for maize, and minus USD 16 per tonne for soybeans, each under the respective December and November futures prices. In Iowa, maize and soybean bids

were minus USD 5 and minus USD 31 respectively (under the corresponding futures). In soft red wheat, bids for delivery to northern flour mills remained very firm quoted at several USD premium to December futures. Maize and soybeans delivered to gulf were lower m/m at USD 14 and USD 6, respectively, while wheat quotes were around USD 27 (per tonne premium over respective nearby futures). Barge freight for the Lower Illinois River dropped to USD 19 per tonne, falling below the three-year average for the first time since November 2018. In export markets, the USDA reported for wheat (crop year for which commenced 1 June) total shipped and unshipped 2019/20 export commitments were 23 percent higher y/y. For maize and soybeans, which have crop years starting 1 September, exports totals were sharply lower, with maize and soybeans total commitments declining to levels of 46 and 67 percent respectively, y/y, underscoring the effects of trade disputes and origin switching that occurred during the northern hemisphere summer price rally.

Forward curves

Forward curves maintained upward sloping (contango) configurations for both maize and soybeans m/m in contrast to tightened levels exhibited in June. Wheat displayed a narrowing of nearby months, with the September contract inverting over the December at expiration, reflecting the premium basis levels being paid by northern wheat millers.

Investment flows

Managed money added to its short positions in wheat, maize and soybeans to varying degrees m/m, but did not approach the record short positions established in May. Commercial hedgers reduced their net shorts in maize and soybeans while increasing net short positions in wheat. Swaps dealers (passive money managers) remained the dominant long position holders in all three commodities.



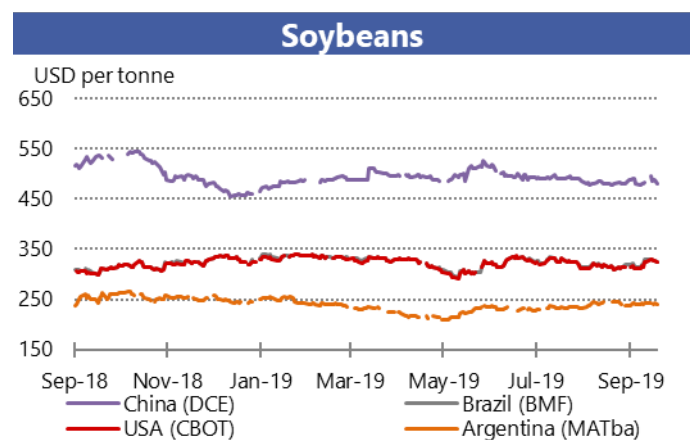
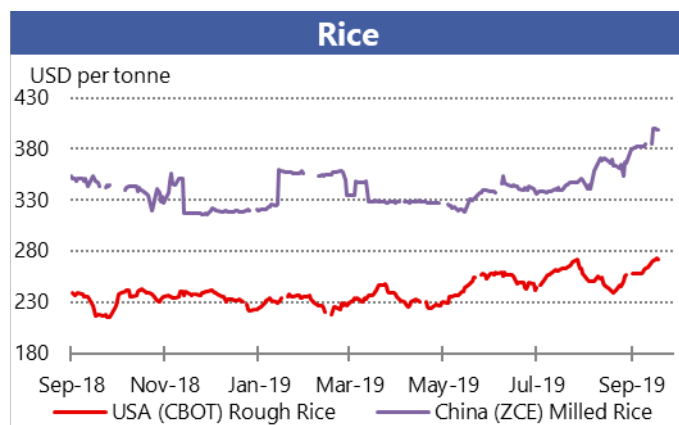
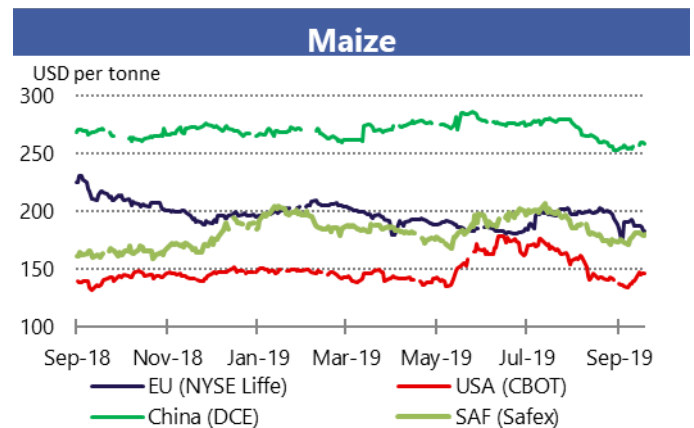
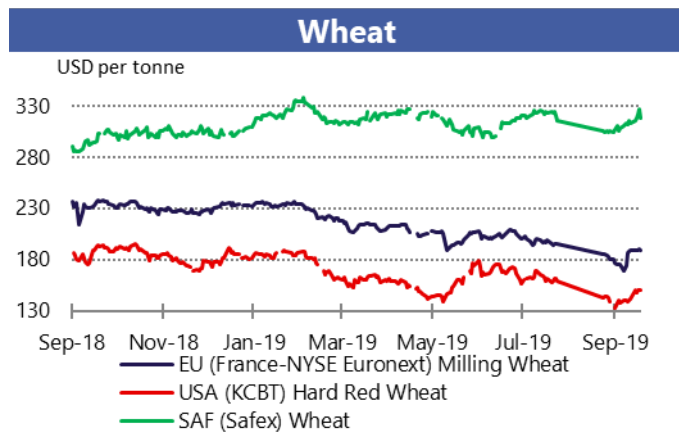
AMIS Market indicators

Some of the indicators covered in this report are updated regularly on the AMIS website. These, as well as other market indicators, can be found at:

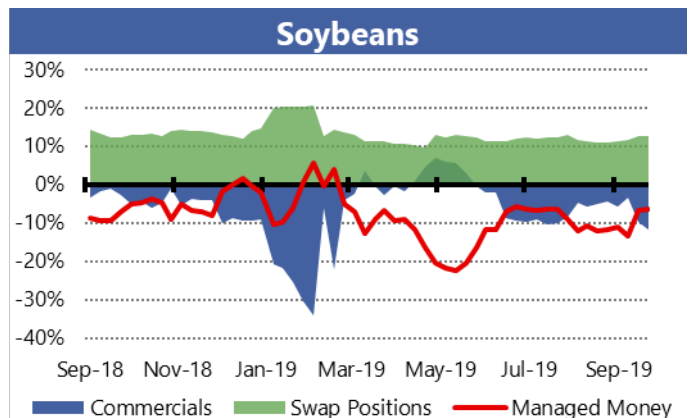
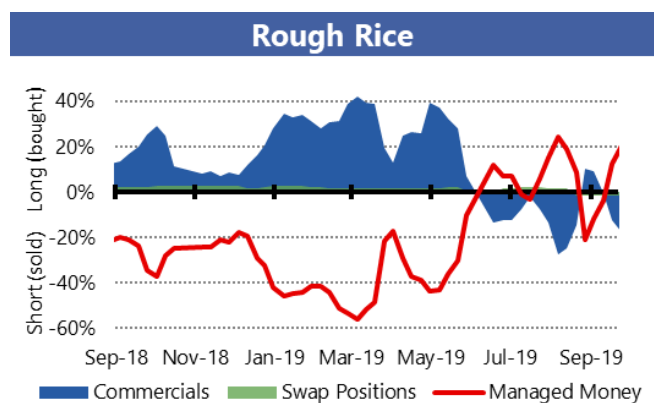
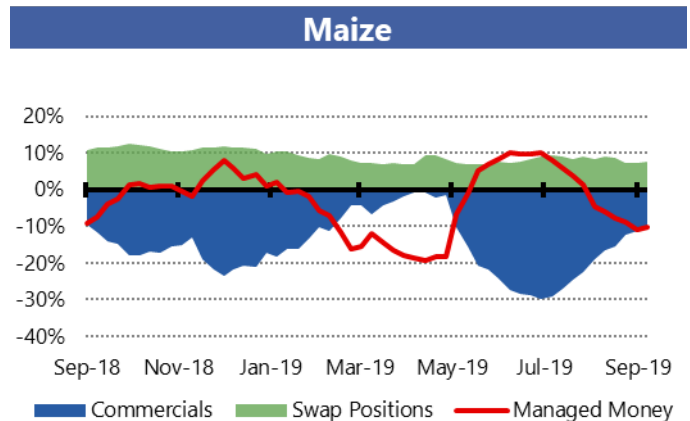
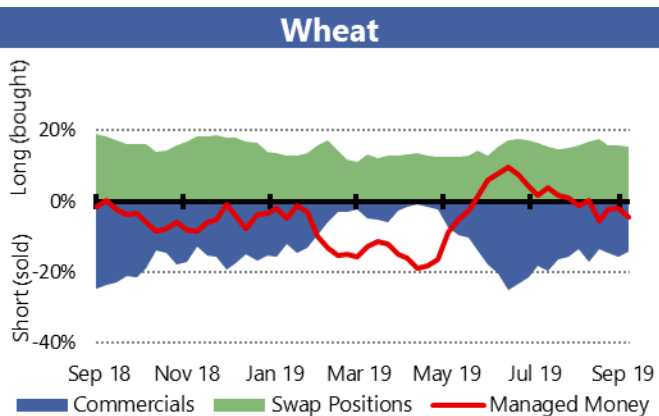
<http://www.amis-outlook.org/amis-monitoring/indicators/>

Market indicators

Daily quotations from leading exchanges - nearby futures

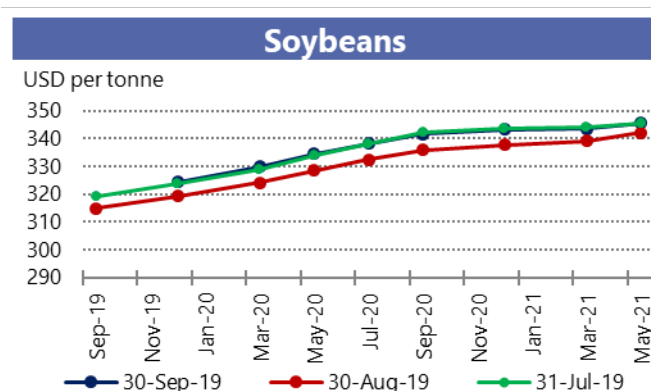
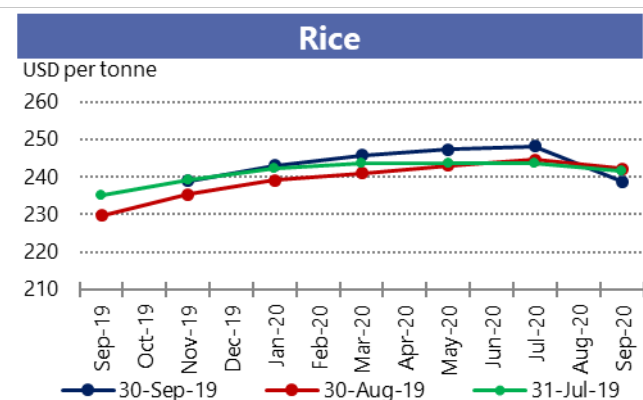
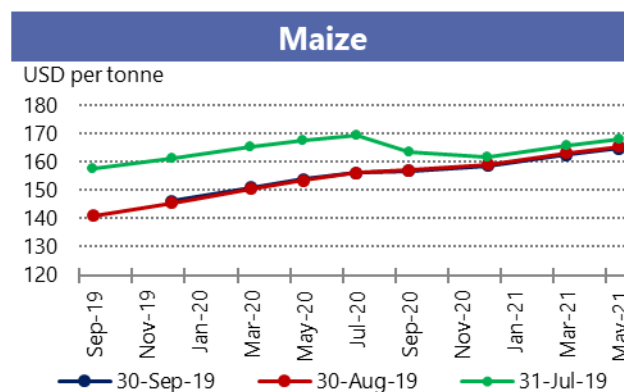
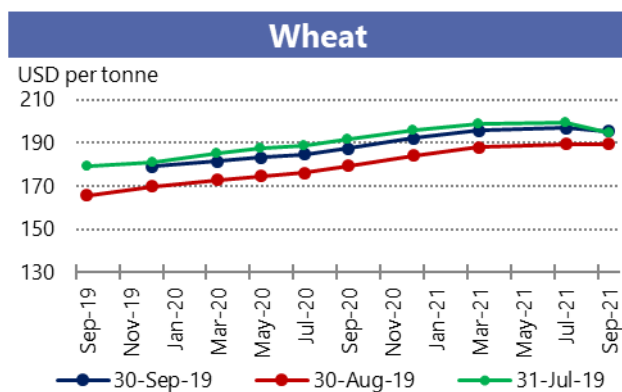


CFTC Commitments of Traders - Major Categories Net Length as percentage of Open Interest*

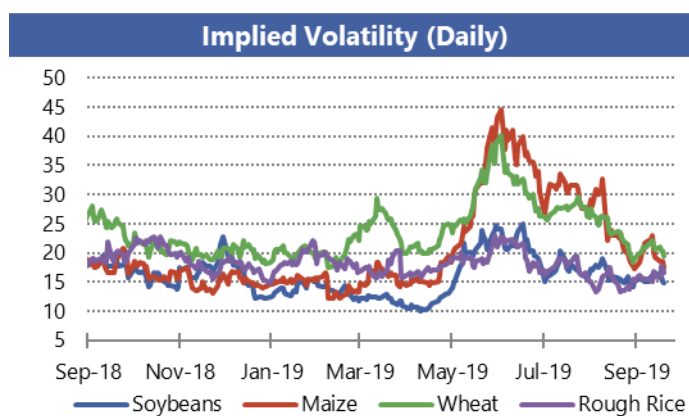
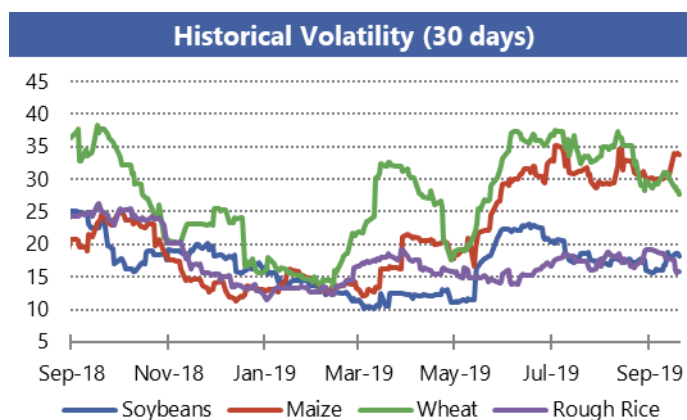


*Disaggregated Futures Only. Though not all positions are reflected in the charts, total long positions always equal total short positions.

Forward Curves



Historical and Implied Volatilities



AMIS Market Indicators

Some of the indicators covered in this report are updated regularly on the AMIS website. These, as well as other market indicators, can be found at: <http://www.amis-outlook.org/amis-monitoring/indicators/>

Monthly US ethanol update

- **Maize prices** fell further during the first half of September on more positive area and yield figures published by USDA.
- **Ethanol futures prices** rose in the first half of September as RBOB gasoline prices fell. However, with RBOB prices averaging higher m/m following the petroleum supply disruptions in the second half of the month, ethanol futures ended the month on a lower note.
- **Ethanol cash prices** weakened early in the month pushing ethanol production receipts lower.
- The **pace of ethanol production** slowed further as the annualized pace of production fell to 15.6 billion gallons. News reports confirmed that low producer margins were resulting in some ethanol production facilities being idle.
- The **ethanol policy environment** in the US remained uncertain.
- Brazil expanded tariff free imports of US ethanol to 750 million litres for one year. However, US exports of ethanol to Brazil already exceed that volume for the current year.

Spot prices IA, NE and IL/eastern corn belt average	Sep 2019*	Aug 2019	Sep 2018
Maize price (USD per tonne)	146.90	154.70	126.33
DDGs (USD per tonne)	135.45	131.47	134.97
Ethanol price (USD per gallon)	1.32	1.35	1.22

Nearby futures prices CME, NYSE	Sep 2019*	Aug 2019	Sep 2018
Ethanol (USD per gallon)	1.45	1.36	1.28
RBOB Gasoline (USD per gallon)	1.60	1.68	2.01
Ethanol/RBOB priceratio	90.5%	81.0%	63.6%

Ethanol margins IA, NE and IL/eastern corn belt Average (USD per gallon)	Sep 2019*	Aug 2019	Sep 2018
Ethanol receipts	1.32	1.35	1.22
DDGs receipts	0.41	0.41	0.42
Maize costs	1.36	1.43	1.17
Other costs	0.55	0.55	0.55
Production margin	-0.17	-0.23	-0.08

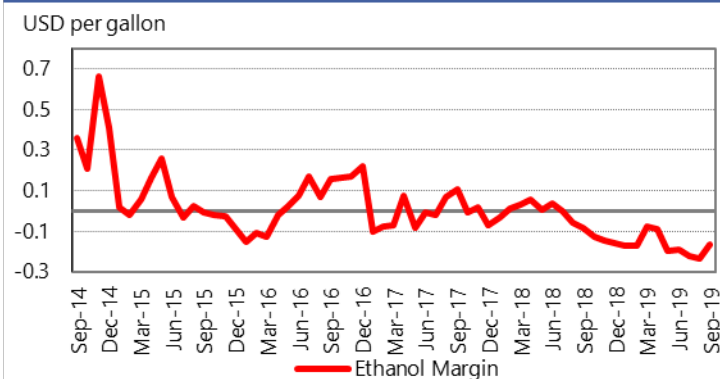
Ethanol production (million gallons)	Sep 2019*	Aug 2019	Sep 2018
Monthly production total	1 358	1 369	1 418
Annualized production pace	15 984	16 124	16 701

Based on USDA data and private sources

* Estimated using available weekly data to date.

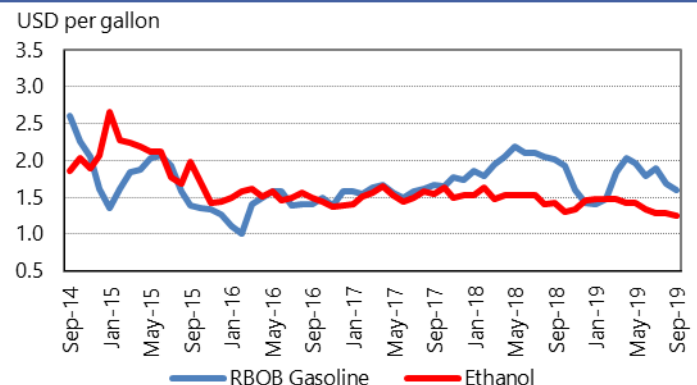
Ethanol Production Margin

(IA, NE, IL/eastern corn belt average)

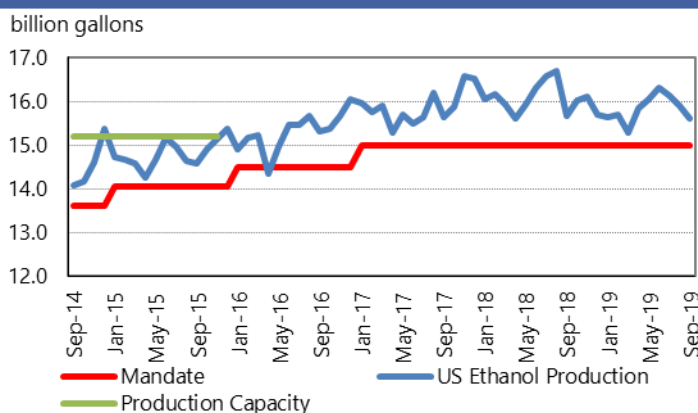


Ethanol and RBOB gasoline

(nearby futures prices, CME, NYSE)



Ethanol production pace, capacity and annual mandate



Ethanol price vs. maize price

(Spot prices)

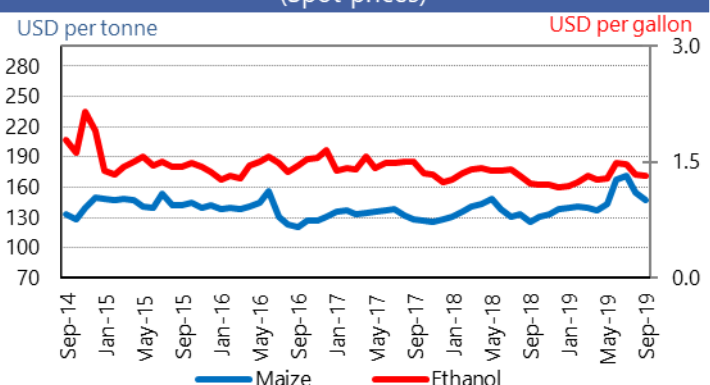


Chart and tables description

Ethanol Production Margins: The ethanol margin gives an indication of the profitability of maize-based ethanol production in the United States. It uses current market prices for maize, Dried Distillers Grains (DDGs) and ethanol, with an additional USD 0.55 per gallon of production costs

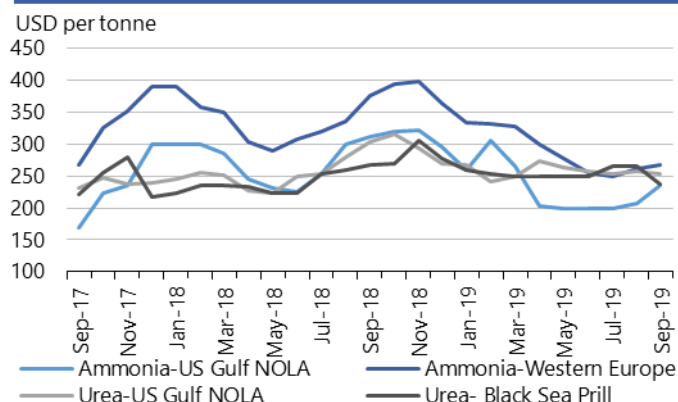
Ethanol Production Pace, Capacity and Mandate: Provides an overview of the volume of maize-based ethanol production in the United States; it also highlights overall production capacity and the production volume that is mandated by public legislation. Name-plate (i.e. nominal) ethanol production capacity in the US is roughly 14.9 billion gallons per annum, but plants can exceed this level, so the actual capacity is assumed to be 15.2 billion gallons.

DDGs: By-product of maize-based biofuel production, commonly used as feedstuff.

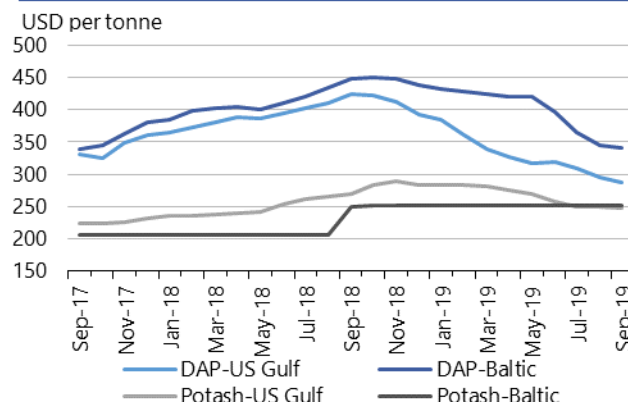
RBOB: Reformulated Blendstock for Oxygenate Blending, gasoline nearby futures (NYSE).

Fertilizer outlook

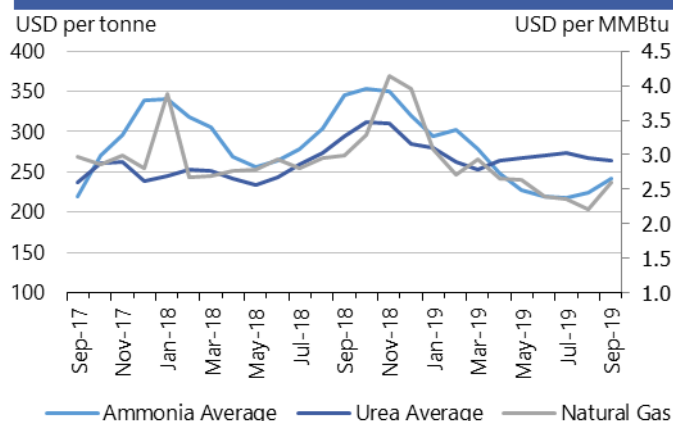
Ammonia and Urea
(Spot prices)



Potash and Phosphate
(Spot prices)



Ammonia Average, Urea Average and Natural Gas
(Spot prices)



- **Natural gas prices** surged 18 percent m/m against the background of escalating tensions in the Middle East; the sudden rise followed several months of declining prices.
- **Ammonia prices** continued to increase in view of supply contractions in the Middle East and rising demand in Europe.
- **Urea prices** decreased, especially in the Black Sea region, mostly due to increased production in China and lower demand from India and Europe.
- **DAP prices** continued their downward trend due to ample global supplies.
- **Potash prices** stabilized at low levels mainly because of weak demand in the US.

	September average	September std. dev	% change last month*	% change last year*	12-month high	12-month low
Ammonia-US Gulf NOLA	235.0	-	13.5%	-24.4%	322.0	200.0
Ammonia-Western Europe	267.5	3.5	2.1%	-28.9%	398.0	250.0
Urea-US Gulf	253.0	1.4	-1.3%	-16.6%	315.8	241.3
Urea-Black Sea	238.0	-	-10.2%	-11.0%	306.4	238.0
DAP-US Gulf	287.5	3.5	-2.5%	-32.2%	421.8	288.0
DAP-Baltic	340.0	-	-1.2%	-24.0%	450.0	340.0
Potash-Baltic	252.0	-	0.0%	1.4%	252.0	252.0
Potash- US Gulf NOLA	248.0	-	-0.4%	-8.1%	289.2	248.0
Ammonia	241.9	0.9	7.8%	-30.1%	352.9	218.4
Urea	264.2	0.3	-1.4%	-10.3%	312.6	254.0
Natural Gas	2.6	0.1	18.2%	-13.2%	4.1	2.2

All prices shown are in US dollars.

Source: Own elaboration based on Bloomberg



Chart and tables description: *estimated using available weekly data to date. Own elaboration based on Bloomberg.

Ammonia and Urea: Nitrogen-based fertilizer prices in the US Gulf, Western Europe and Black Sea. Prices are weekly prices averaged by month.

Potash and Phosphate: Phosphate and potassium-based fertilizer prices in the US Gulf, Baltic and Vancouver. Prices are weekly prices averaged by month.

Ammonia Average and Urea Average: Monthly average prices from Ammonia's US Gulf NOLA, Middle East, Black Sea and Western Europe were averaged to obtain Ammonia Average prices; monthly average prices from Urea's US Gulf NOLA, US Gulf Prill, Middle East Prill, Black Sea Prill and Mediterranean were averaged to obtain Urea Average prices.

Natural Gas: Henry Hub Natural Gas Spot Price from ICE up to December 2017 and from Bloomberg (BGAP) from January 2018 onwards. Prices are intraday prices averaged by month. Natural gas is used as major input to produce nitrogen-based fertilizers

DAP: Diammonium Phosphate.

Ocean freight markets

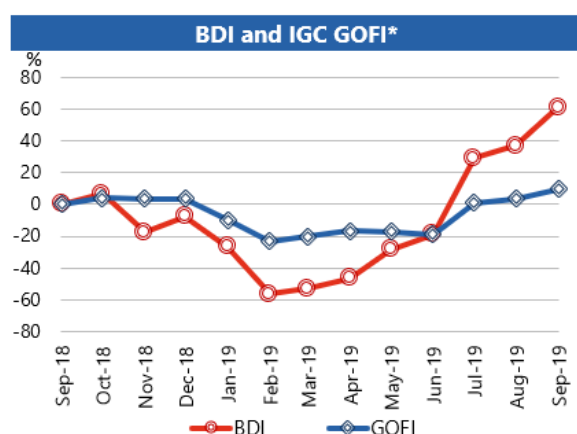
Dry bulk freight market developments

	September-19 average	Change m/m	Change y/y
Baltic Dry Index (BDI)*	2,332.5	+17.7%	+61.2%
<i>sub-Indices:</i>			
<i>Capesize</i>	4,554.9	+24.0%	+118.1%
<i>Panamax</i>	2,135.6	+4.8%	+36.3%
<i>Supramax</i>	1,315.5	+19.4%	+13.9%
Baltic Handysize Index (BHSI)**	688.2	+21.4%	+16.0%

Sources: Baltic Exchange, IGC.

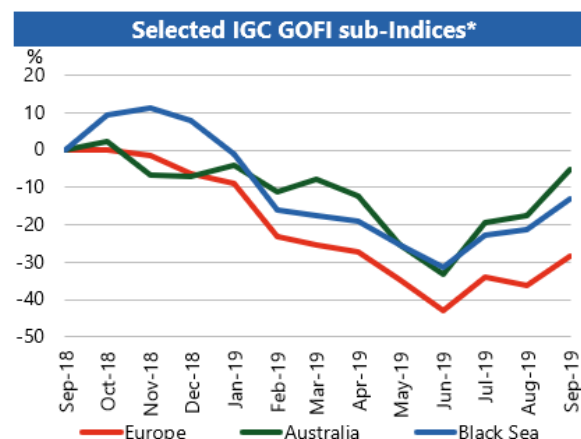
*4 January 1985 = 1000. **23 May 2006 = 1000.

***Weekly basis, 1 January 2013 = 100.



*percentage change based on monthly average values

	September-19 average	Change m/m	Change y/y
IGC Grains and Oilseeds Freight Index (GOFI)***	154.0	+6.1%	+9.7%
<i>sub-Indices:</i>			
<i>Argentina</i>	165.4	+6.4%	-10.4%
<i>Australia</i>	94.3	+15.0%	-5.3%
<i>Brazil</i>	203.8	+4.9%	+30.1%
<i>Black Sea</i>	189.9	+10.2%	-13.1%
<i>Canada</i>	127.1	+5.8%	-3.3%
<i>Europe</i>	111.2	+11.9%	-28.5%
<i>US</i>	126.4	+6.2%	+5.2%



- The dry bulk freight market was generally firm in September. Although earnings in all underlying segments were trending lower, the **Baltic Dry Index (BDI)** averaged 18 percent higher m/m.
- With pressure from concerns about ongoing trade disputes outweighed by firm nearby demand, the Index peaked at a near nine-year high on 4 September. While values mostly eased thereafter, downside was capped by elevated bunker prices, which spiked after sudden supply disruptions in Saudi Arabia.
- Average **Panamax** earnings were a little higher m/m. Brisk activity out of the northern Atlantic and South America underpinned in early September, but market sentiment came under pressure from slower than anticipated demand in Argentina and Brazil. Nevertheless, renewed fixing for soybean deliveries from the Pacific North West to China was noted recently amid ongoing US-China trade talks.
- Earnings for smaller vessels were also firmer on average, although trends were mixed. In the **Supramax** market,

lacklustre demand in Asia contrasted with good volumes out of the Mediterranean and the northern Atlantic. After initially rising on firm demand in Southeast Asia, **Handysize** values held steady amid firm inquiry on both sides of the Atlantic.

- Compared to the broader dry bulk market, gains in the grains/oilseeds segment were less pronounced, as evidenced by a 6 percent rise in **average IGC Grains and Oilseeds Freight Index (GOFI)** values.
- While the **GOFI sub-Index** for Australia posted the largest percentage increase, this in part reflected a relatively low sub-Index base. Nevertheless, the origin witnessed strong interest for all types of bulkers in early September, with voyage rates on grains/oilseeds routes, including to China, Indonesia and South Korea, quoted higher on average.
- Good demand for wheat shipments, including to North Africa, buoyed freight prices in Europe and the Black Sea, with increases in fuel costs underpinning in the latter region.

Source: International Grains Council

Baltic Dry Index (BDI): A benchmark indicator issued daily by the Baltic Exchange, providing assessed costs of moving raw materials on ocean going vessels. Comprises sub-Indices for three segments: Capesize, Panamax and Supramax. The Baltic Handysize Index excluded from the BDI from 1 March 2018.

IGC Grains and Oilseeds Freight Index (GOFI): A trade-weighted composite measure of ocean freight costs for grains and oilseeds, issued weekly by the International Grains Council. Includes sub-Indices for seven main origins (Argentina, Australia, Brazil, Black Sea, Canada, the EU and the USA). Constructed based on nominal HSS (heavy grains, soybeans, sorghum) voyage rates on selected major routes.

Capesize: Vessels with deadweight tonnage (DWT) above 80,000 DWT, primarily transporting coal, iron ore and other heavy raw materials on long-haul routes.

Panamax: Carriers with capacity of 60,000-80,000 DWT, mostly geared to transporting coal, grains, oilseeds and other bulks, including sugar and cement.

Supramax/Handysize: Ships with capacity below 60,000 DWT, accounting for the majority of the world's ocean-going vessels and able to transport a wide variety of cargos, including grains and oilseeds.

Explanatory Notes

The notions of **tightening** and **easing** used in the summary table of “Markets at a glance” reflect judgmental views that take into account market fundamentals, inter-alia price developments and short-term trends in demand and supply, especially changes in stocks.

All totals (aggregates) are computed from unrounded data. World supply and demand estimates/forecasts are based on the latest data published by FAO, IGC and USDA. For the former, they also take into account information provided by AMIS focal points (hence the notion “FAO-AMIS”). World estimates and forecasts produced by the three sources may vary due to several reasons, such as varying release dates and different methodologies used in constructing commodity balances. Specifically:

Production: Wheat production data from all three sources refer to production occurring in the first year of the marketing season shown (e.g. crops harvested in 2016 are allocated to the 2016/17 marketing season). Maize and rice production data for FAO-AMIS refer to crops harvested during the first year of the marketing season (e.g. 2016 for the 2016/17 marketing season) in both the northern and southern hemisphere. Rice production data for FAO-AMIS also include northern hemisphere production from secondary crops harvested in the second year of the marketing season (e.g. 2017 for the 2016/17 marketing season). By contrast, rice and maize data for USDA and IGC encompass production in the northern hemisphere occurring during the first year of the season (e.g. 2016 for the 2016/17 marketing season), as well as crops harvested in the southern hemisphere during the second year of the season (e.g. 2017 for the 2016/17 marketing season). For soybeans, the latter approach is used by all three sources.

Supply: Defined as production plus opening stocks by all three sources.

Utilization: For all three sources, wheat, maize and rice utilization includes food, feed and other uses (namely, seeds, industrial uses and post-harvest losses). For soybeans, it comprises crush, food and other uses. However, for all AMIS commodities, the use categories may be grouped differently across sources and may also include residual values.

Trade: Data refer to exports. For wheat and maize, trade is reported on a July/June basis, except for USDA maize trade estimates, which are reported on an October/September basis. Wheat trade data from all three sources includes wheat flour in wheat grain equivalent, while the USDA also considers wheat products. For rice, trade covers shipments from January to December of the second year of the respective marketing season. For soybeans, trade is reported on an October/September basis by FAO-AMIS and the IGC, while USDA data are based on local marketing years except for Argentina and Brazil which are reported on an October/September basis. Trade between European Union member states is excluded.

Stocks: In general, world stocks of AMIS crops refer to the sum of carry-overs at the close of each country's national marketing year. For soybeans, stock levels reported by the USDA are based on local marketing years, except for Argentina and Brazil, which are adjusted to October/September. For maize and rice, global estimates may vary across sources because of differences in the allocation of production in southern hemisphere countries.

For more information on AMIS Supply and Demand, please view [AMIS Supply and Demand Balances Manual](#).

Main sources

Bloomberg, CFTC, CME Group, FAO, GEOGLAM, IFPRI, IGC, Reuters, USDA, US Federal Reserve

AMIS - GEOGLAM Crop Calendar

Selected leading producers

Wheat		J	F	M	A	M	J	J	A	S	O	N	D
EU (21%)*	winter												
China (17%)	spring												
	winter												
India (13%)	winter												
US (8%)	spring												
	winter												
Russia (8%)	spring												
	winter												
Maize		J	F	M	A	M	J	J	A	S	O	N	D
US (35%)													
China (22%)	north												
	south												
Brazil (8%)	1st crop												
	2nd crop												
EU (7%)													
Argentina (3%)													
Rice		J	F	M	A	M	J	J	A	S	O	N	D
China (29%)	intermediary crop												
	late crop												
	early crop												
India (21%)	kharif												
	rabi												
Indonesia (9%)	main Java												
	second Java												
Viet Nam (6%)	winter-spring												
	summer/autumn												
	winter												
Thailand (4%)	main season												
	second season												
Soybeans		J	F	M	A	M	J	J	A	S	O	N	D
USA (31%)													
Brazil (29%)													
Argentina (18%)													
China (4%)													
India (3%)													

* Percentages refer to the global share of production (average 2013-15).

	Planting (peak)		Harvest (peak)
	Planting		Harvest
	Weather conditions in this period are critical for yields.		Growing period

2019 AMIS Market Monitor Release Dates

February 7, March 7, April 4, May 9, June 6, July 4, September 5, October 3, November 7, December 5

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